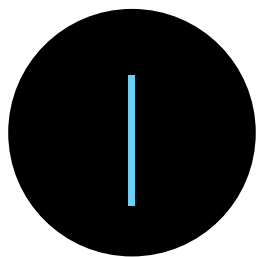


Unlocking India's Economic Potential

The real estate and housing sector is the real driver of any economic engine. It will continue to drive India forward for the foreseeable future



I AM FULLY confident that India will realise its true potential in the next 25 years. The reason for my optimism is that India has, over the years, successfully weathered several financial storms, geopolitical uncertainties as well as the devastating pandemic only to rebound as a stronger and resilient economy.

With regard to housing and real estate, this sector holds the key to unlocking the potential of the Indian economy. In fact, the pace of growth in both advanced as well as developing economies has historically been determined by the relative strength of the housing and real estate sector. Housing always remains at the core of any economy and is considered as a significant engine for its growth. I am optimistic about the future of the housing sector as demand for housing remains insatiable in a country like India. There are several factors behind this:

Employment generator:

Housing is one of the largest



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employment generators in the economy with linkages to nearly 300 industries, both in terms of direct jobs and the jobs it creates in ancillary industries.

Low penetration levels:

Mortgage penetration in India is extremely low, which implies a huge potential for growth. For example, the mortgage-to-GDP ratio in India is 11 per cent compared to 20-30 per cent in most East Asian economies, 68 per cent in the UK and 52 per cent in the US.

Inelasticity: Demand for housing has proved to be relatively inelastic even in a higher interest

rate environment. There are a couple of reasons for this:

- a.** Housing is the single largest investment a person does in his or her lifetime. If the property is liked by the family and is affordable, most people would go ahead and buy the house irrespective of interest rates.
- b.** Housing loans are typically long-term loans with an average tenure of about 15 years. In India, the overwhelming majority opt for a floating rate loan. In a floating rate loan, the customer gets the benefit of falling rates when rates come down and pays higher costs when rates go up. Hence, over a 15-year period there are several phases of higher and lower rates. So, it makes a much lesser difference from an economic standpoint.

Improved affordability:

Around 25 years ago, it would have taken nearly 20 times a person's annual income to be able to afford a modest-sized home in most cities in India. Today, this affordability ratio has improved to about 3.2 times the annual income. Additionally, fiscal incentives by the government have played a key role in encouraging people to borrow to buy a house.

Continuing reforms: There has been a huge thrust by the government on enabling housing and real estate policies. For instance, the establishment of the Real Estate (Regulation & Development) Act (RERA), 2016, protects the interests of homebuyers. The introduction of RERA has been one of the most